Financial Markets & Products

Understand how capital moves through financial markets and how equities, bonds, derivatives and FX products are issued, traded, priced and settled.

1. What is a financial system?

ANSWER

A financial system is the network of institutions, markets, instruments, infrastructure and rules through which savings are transferred to borrowers and investors. It enables capital formation, payments, risk transfer and price discovery.

EXAMPLE

A household deposits money in a bank; the bank lends to a company, while the company may also raise funds by issuing bonds or shares.

2. What is the difference between a money market and a capital market?

ANSWER

Money markets deal mainly in short-term instruments, usually up to one year, while capital markets deal in longer-term debt and equity instruments.

EXAMPLE

Treasury bills are money-market instruments; corporate bonds and shares are capital-market instruments.

3. What is the primary market?

ANSWER

The primary market is where new securities are issued and sold to investors for the first time, allowing the issuer to raise fresh capital.

EXAMPLE

A company launching an IPO issues new shares to investors in the primary market.

4. What is the secondary market?

ANSWER

The secondary market is where existing securities are traded between investors after issuance. The issuer normally does not receive the sale proceeds.

EXAMPLE

An investor buying listed shares on a stock exchange is transacting in the secondary market.

5. What is market liquidity?

ANSWER

Liquidity is the ability to buy or sell an asset quickly with limited price impact. Higher liquidity generally means tighter bid-ask spreads and easier execution.

EXAMPLE

A heavily traded large-cap stock can usually be sold faster than a thinly traded small-cap security.

6. Who are financial market intermediaries?

ANSWER

They are institutions that facilitate the movement of funds and securities, such as banks, brokers, custodians, depositories, clearing houses, asset managers and investment banks.

EXAMPLE

A broker executes the trade, a clearing house manages clearing obligations, and a custodian safekeeps the securities.

7. What is the role of an investment bank in capital markets?

ANSWER

Investment banks help issuers raise capital, structure securities, underwrite offerings, advise on transactions and facilitate institutional trading.

EXAMPLE

In an IPO, the investment bank may help price the issue, market it to investors and coordinate the issuance process.

8. How do interest rates affect financial markets?

ANSWER

Interest rates influence borrowing costs, discount rates, bond prices, currency values and equity valuations. Rising rates typically pressure existing fixed-rate bond prices.

EXAMPLE

If market yields rise from 5% to 7%, a previously issued 5% coupon bond becomes less attractive and its price tends to fall.

9. How does inflation affect securities?

ANSWER

Inflation reduces purchasing power and can cause central banks to raise interest rates. It may reduce real bond returns and affect company costs and equity valuations.

EXAMPLE

A fixed coupon of 4% is less attractive if inflation rises to 6% because the real return becomes negative.

10. What is price discovery?

ANSWER

Price discovery is the market process through which buyers and sellers determine the fair trading price of an asset using available information and supply-demand conditions.

EXAMPLE

Unexpected earnings news can cause orders to shift rapidly until a new equilibrium share price is established.

11. What is equity?

ANSWER

Equity represents ownership in a company. Equity holders generally participate in residual profits and bear residual risk after creditors are paid.

EXAMPLE

Owning 100 shares of a listed company gives the investor a proportional ownership interest.

12. What is the difference between common and preference shares?

ANSWER

Common shares generally carry voting rights and variable dividends. Preference shares usually have priority over common shares for dividends and liquidation proceeds, but may have limited voting rights.

EXAMPLE

If a company declares preference dividends first, common shareholders receive distributions only after the preference obligation is met.

13. What is a depository receipt?

ANSWER

A depository receipt is a negotiable certificate representing shares of a foreign company, issued by a depositary bank to facilitate trading in another market.

EXAMPLE

An ADR allows US investors to trade an interest in a non-US company without directly trading the underlying foreign shares.

14. What is market capitalization?

ANSWER

Market capitalization is the market value of a company's outstanding equity, calculated as share price multiplied by shares outstanding.

EXAMPLE

If 10 million shares trade at 20, market capitalization is 200 million.

15. What is an IPO?

ANSWER

An Initial Public Offering is the first public sale of a company's shares, allowing it to access public capital markets.

EXAMPLE

A privately held company offers shares to institutional and retail investors and lists on a stock exchange.

16. What is the trade date and settlement date?

ANSWER

Trade date is when buyer and seller agree the transaction. Settlement date is when cash and securities are exchanged according to market convention.

EXAMPLE

If a market follows T+1, a trade executed Monday normally settles Tuesday, subject to holidays.

17. What is beneficial ownership?

ANSWER

Beneficial ownership refers to the person or entity that ultimately enjoys the economic benefits and rights of an asset, even if legal title is held by another party.

EXAMPLE

A custodian may hold shares in nominee name while the underlying investor remains the beneficial owner.

18. What is dividend yield?

ANSWER

Dividend yield measures annual dividends relative to the current share price. It is often expressed as annual dividend per share divided by market price per share.

EXAMPLE

If annual dividend is 4 and share price is 100, dividend yield is 4%.

19. What is dilution?

ANSWER

Dilution occurs when new shares are issued and an existing shareholder's percentage ownership or earnings per share decreases unless they participate proportionally.

EXAMPLE

A rights issue can protect existing holders from dilution if they exercise their rights.

20. What is free float?

ANSWER

Free float is the portion of a company's shares available for public trading, excluding strategic or locked-in holdings.

EXAMPLE

Promoter-held shares may not count toward free float if they are not normally available for trading.

21. What is a bond?

ANSWER

A bond is a debt security under which an issuer borrows money from investors and promises contractual payments such as coupons and repayment of principal.

EXAMPLE

A company issues a 5-year bond with a 6% annual coupon and repays face value at maturity.

22. What are the main characteristics of a bond?

ANSWER

Key characteristics include issuer, face value, coupon rate, coupon frequency, issue date, maturity date, currency, seniority, security and embedded options.

EXAMPLE

A 1,000 face-value, 5-year, 7% semiannual corporate bond pays 35 every six months.

23. What is the difference between clean price and dirty price?

ANSWER

Clean price excludes accrued interest. Dirty price is the total settlement price, usually clean price plus accrued interest.

EXAMPLE

If clean price is 101.20 and accrued interest is 1.30, dirty price is 102.50.

24. What is accrued interest?

ANSWER

Accrued interest is the coupon interest earned from the previous coupon date up to the settlement date. The buyer compensates the seller for this earned amount.

EXAMPLE

If half of a coupon period has passed, roughly half of the coupon may be accrued, subject to day-count convention.

25. What is current yield?

ANSWER

Current yield is annual coupon income divided by the bond's current market price. It does not capture capital gain/loss to maturity.

EXAMPLE

A bond paying 60 annually and trading at 1,200 has a current yield of 5%.

26. What is Yield to Maturity?

ANSWER

YTM is the discount rate that equates the present value of remaining contractual cash flows with the bond's current market price, assuming payments occur and the bond is held to maturity.

EXAMPLE

A bond purchased below par can have a YTM above its coupon rate because the investor may also earn a capital gain at maturity.

27. What is Yield to Call?

ANSWER

YTC estimates the return assuming a callable bond is redeemed on a specified call date at the call price rather than held to final maturity.

EXAMPLE

If a bond can be called after three years, YTC helps an investor assess the return if the issuer exercises that option.

28. Why do bond prices usually move inversely to yields?

ANSWER

Existing fixed cash flows become less valuable when market yields rise and more valuable when market yields fall, so price adjusts in the opposite direction.

EXAMPLE

A 4% coupon bond falls in price if comparable new bonds yield 6%.

29. What is securitisation?

ANSWER

Securitisation pools financial assets and transforms their cash flows into marketable securities, often through a special-purpose vehicle.

EXAMPLE

A pool of mortgage loans can be transferred to an SPV that issues mortgage-backed securities.

30. What is an ABS?

ANSWER

An Asset-Backed Security is backed by a pool of receivables such as auto loans, credit-card receivables or other non-mortgage assets.

EXAMPLE

Monthly auto-loan repayments support the cash flows paid to ABS investors.

31. What is an MBS?

ANSWER

A Mortgage-Backed Security is backed by a pool of residential or commercial mortgage loans.

EXAMPLE

Home-loan principal and interest payments are passed through or structured to MBS investors.

32. What is a CDO?

ANSWER

A Collateralized Debt Obligation is a structured product backed by a pool of debt exposures and divided into tranches with different risk-return characteristics.

EXAMPLE

Senior tranches absorb losses after junior tranches, so they generally have lower credit risk than equity tranches.

33. What is a derivative?

ANSWER

A derivative is a contract whose value depends on an underlying asset, rate, index, currency or credit event. It can be used for hedging, speculation or arbitrage.

EXAMPLE

An airline may use fuel derivatives to hedge future fuel-price risk.

34. What is the difference between OTC and exchange-traded derivatives?

ANSWER

OTC derivatives are privately negotiated and customizable but carry bilateral counterparty exposure. Exchange-traded derivatives are standardized and cleared through an exchange/clearing house.

EXAMPLE

A customized interest-rate swap is typically OTC, while an index future is exchange-traded.

35. What is a forward contract?

ANSWER

A forward is an agreement to buy or sell an underlying asset at a specified price on a future date. It is usually OTC.

EXAMPLE

An importer agrees today to buy USD 1 million in three months at a fixed FX rate.

36. What is a futures contract?

ANSWER

A futures contract is a standardized exchange-traded agreement for future purchase or sale of an underlying. It is marked to market and supported by margin.

EXAMPLE

An investor buys an index future and posts initial margin with the clearing broker.

37. What is initial margin?

ANSWER

Initial margin is collateral required to open or maintain a derivatives position as protection against potential future losses.

EXAMPLE

A futures position may require 10% initial margin relative to contract exposure.

38. What is variation margin?

ANSWER

Variation margin is the cash or collateral exchanged to reflect daily or periodic mark-to-market gains and losses.

EXAMPLE

If a futures position loses 5,000 after daily marking, the holder may need to pay 5,000 variation margin.

39. What is a call option?

ANSWER

A call option gives the buyer the right, but not the obligation, to buy the underlying at the strike price before or at expiry, depending on option style.

EXAMPLE

A call with strike 100 becomes economically valuable when the underlying rises well above 100.

40. What is a put option?

ANSWER

A put option gives the buyer the right, but not the obligation, to sell the underlying at the strike price.

EXAMPLE

An investor holding shares may buy puts to limit downside below a chosen price.

41. What is option premium?

ANSWER

Option premium is the price paid by the buyer to the seller for the option rights. It reflects intrinsic value, time value, volatility and other factors.

EXAMPLE

A buyer pays a premium of 3 per share for a call option contract.

42. What is an Interest Rate Swap?

ANSWER

An IRS is an OTC contract in which parties exchange interest-payment streams, commonly fixed versus floating, on a notional amount.

EXAMPLE

A borrower with floating-rate debt may pay fixed and receive floating under a swap to stabilize financing cost.

43. What is a Total Return Swap?

ANSWER

A TRS transfers the total economic return of a reference asset, including income and price change, in exchange for a financing leg.

EXAMPLE

One party receives the return of an equity index while paying a floating rate plus spread.

44. What is a Credit Default Swap?

ANSWER

A CDS transfers credit risk. The protection buyer pays periodic premium and the seller compensates the buyer if a defined credit event occurs.

EXAMPLE

A bank buys CDS protection on a corporate borrower to hedge default risk.

45. What is an FX spot transaction?

ANSWER

An FX spot transaction exchanges two currencies at an agreed rate for near-term settlement according to market convention.

EXAMPLE

A company buys EUR and sells USD for settlement in the standard spot cycle.

46. What is an NDF?

ANSWER

A Non-Deliverable Forward is an FX forward where the difference between the agreed rate and a fixing rate is cash-settled, usually in a freely convertible currency, instead of delivering the restricted currency.

EXAMPLE

A firm hedges exposure to a restricted currency and settles only the USD difference at maturity.

47. What is an FX swap?

ANSWER

An FX swap combines a spot exchange of two currencies with a reverse exchange at a later date at a pre-agreed forward rate.

EXAMPLE

A bank obtains USD liquidity for one month by exchanging EUR for USD spot and reversing the trade one month later.

Accounting Fundamentals

Connect business transactions to books and records so cash, trade and position movements can be explained and controlled.

1. What is the double-entry system?

ANSWER

Every accounting transaction affects at least two accounts so that total debits equal total credits and the accounting equation remains balanced.

EXAMPLE

Paying cash for equipment debits equipment and credits cash.

2. What is a journal entry?

ANSWER

A journal entry is the initial accounting record of a transaction showing the accounts affected, debit and credit amounts and an explanation.

EXAMPLE

Receiving a service fee of 1,000 in cash: debit cash 1,000 and credit fee income 1,000.

3. What is a ledger?

ANSWER

A ledger groups journal entries by account so that the running balance of each account can be tracked.

EXAMPLE

All cash-related journal entries are posted to the cash ledger account.

4. What are the golden rules of accounting?

ANSWER

Traditional rules are: debit the receiver and credit the giver for personal accounts; debit what comes in and credit what goes out for real accounts; debit expenses/losses and credit incomes/gains for nominal accounts.

EXAMPLE

Rent expense is debited because it is an expense, while cash is credited because cash goes out.

5. What is a balance sheet?

ANSWER

A balance sheet reports assets, liabilities and equity at a point in time. The core equation is Assets = Liabilities + Equity.

EXAMPLE

Cash, receivables and investments are assets; borrowings are liabilities.

6. What is a profit and loss statement?

ANSWER

The P&L; summarizes revenues and expenses over a period to determine profit or loss.

EXAMPLE

Trading-fee income minus operating expenses contributes to the period profit.

7. How can a securities purchase affect accounting records?

ANSWER

The accounting depends on classification and entity policy, but at a simple operational level the purchase increases an investment asset and reduces cash or creates a payable until settlement.

EXAMPLE

On trade date an investment may be recognized with a payable; on settlement the payable is cleared against cash.

8. What is an accrual?

ANSWER

An accrual recognizes income or expense when earned or incurred even if cash has not yet been received or paid.

EXAMPLE

Coupon interest earned but not yet received may be accrued.

9. What is a receivable?

ANSWER

A receivable is an amount owed to the entity by another party and is recorded as an asset.

EXAMPLE

A dividend declared and due to the investor may be recorded as a dividend receivable.

10. What is a payable?

ANSWER

A payable is an obligation to pay another party and is recorded as a liability.

EXAMPLE

A securities purchase awaiting cash settlement may create a settlement payable.

11. Why is accounting relevant to operations reconciliation?

ANSWER

Operations records eventually affect positions, cash and the general ledger. Reconciliation helps ensure transaction systems, custodians, bank statements and accounting records agree.

EXAMPLE

A missing settlement entry can create both a Nostro break and a general-ledger difference.

12. What is a trial balance?

ANSWER

A trial balance lists ledger account balances to check that total debits equal total credits before preparing financial statements.

EXAMPLE

If total debit balances equal 2 million, total credit balances should also equal 2 million.

Trade Life Cycle & Reference Data

Follow a trade from client and instrument setup through execution, confirmation, matching, settlement and post-trade control.

1. What is a Trade Life Cycle?

ANSWER

The Trade Life Cycle is the end-to-end sequence from pre-trade setup and execution through capture, validation, confirmation, clearing, settlement, reconciliation and post-settlement controls.

EXAMPLE

An equity trade is executed, booked, matched, settled against cash, then reconciled to custodian records.

2. What happens during pre-trade?

ANSWER

Pre-trade activities may include client eligibility, account setup, KYC, reference data, limits, product permissions and settlement instructions.

EXAMPLE

A new institutional client cannot trade until account and SSI data are approved.

3. What is trade capture?

ANSWER

Trade capture records the executed trade economics in the firm's systems, including instrument, quantity, price, counterparty, dates and settlement details.

EXAMPLE

A trader executes 5,000 shares at 25; operations systems capture the trade for downstream processing.

4. What is trade enrichment?

ANSWER

Trade enrichment adds standing or reference information needed for downstream processing, such as settlement location, custodian account or SSI.

EXAMPLE

A system adds the client's approved custodian account to a booked equity trade.

5. What is trade validation?

ANSWER

Validation checks that trade data is complete, internally consistent and permitted by rules before further processing.

EXAMPLE

A trade may fail validation if settlement currency is missing.

6. What is confirmation?

ANSWER

Confirmation is communication of trade details to the counterparty so both parties can verify the agreed economics.

EXAMPLE

Both parties confirm quantity, price, trade date and settlement date of an OTC trade.

7. What is affirmation?

ANSWER

Affirmation is the client or investment manager's positive agreement that trade details are correct, often after confirmation.

EXAMPLE

An investment manager affirms a broker confirmation in an electronic matching platform.

8. What is trade matching?

ANSWER

Matching compares the two sides of a trade to confirm key economic and settlement fields agree before settlement.

EXAMPLE

If one side shows 10,000 shares and the other 1,000, the trade is unmatched and requires investigation.

9. What is a trade break?

ANSWER

A trade break is a mismatch or exception between expected and counterparty/internal trade data.

EXAMPLE

Different settlement dates on the two sides create a matching break.

10. How would you investigate an unmatched trade?

ANSWER

Compare source execution details, booking records, counterparty confirmation and reference data; identify the mismatched field; validate evidence; correct the appropriate record and re-match.

EXAMPLE

If quantity differs, check the original execution ticket before changing any system record.

11. What is clearing?

ANSWER

Clearing determines obligations between trading parties and may involve netting and a central counterparty before settlement.

EXAMPLE

A CCP becomes buyer to every seller and seller to every buyer for eligible exchange trades.

12. What is settlement?

ANSWER

Settlement is the final exchange of securities and cash or other contractual consideration, satisfying the parties' obligations.

EXAMPLE

Buyer receives shares while seller receives cash through DVP.

13. What is post-trade reconciliation?

ANSWER

It compares internal trades, cash and positions against external records to detect missing, duplicated or incorrect processing.

EXAMPLE

The internal securities position is compared with the custodian statement after settlement.

14. What is the difference between front, middle and back office?

ANSWER

Front office originates and executes business; middle office commonly handles risk, control and trade-support functions; back office focuses on confirmations, settlements, reconciliations and recordkeeping. Structures vary by institution.

EXAMPLE

A trader executes a swap, middle office monitors risk, and operations confirms and settles cash flows.

15. Explain an equity trade end to end.

ANSWER

Order is executed; trade is captured and enriched; details are matched/confirmed; obligations are cleared if applicable; settlement instructions are sent; securities and cash exchange; positions and cash are reconciled; exceptions are resolved.

EXAMPLE

A buy of 1,000 shares settles DVP on T+1 and is then reflected in the custodian position.

16. Explain an OTC derivative trade end to end.

ANSWER

Client/counterparty setup and documentation are completed; the trade is executed and booked; economics are confirmed; valuation and collateral processes operate through the life; cash flows are settled; lifecycle events are processed; the contract matures or terminates and final balances are reconciled.

EXAMPLE

An IRS generates periodic payment calculations and collateral calls until maturity.

17. What controls reduce booking errors?

ANSWER

Maker-checker review, required-field validation, reference-data controls, electronic matching, tolerance rules, reconciliations and exception ageing all help reduce booking risk.

EXAMPLE

A second reviewer approves manual changes to settlement instructions before release.

18. What is settlement instruction or SSI?

ANSWER

A Standing Settlement Instruction is approved reference data specifying where and how cash or securities should settle for a client or counterparty.

EXAMPLE

The SSI contains custodian, account and market details for settlement.

19. Why should SSI changes be tightly controlled?

ANSWER

Incorrect or fraudulent changes can cause failed settlement, misdirected assets or financial loss, so independent verification and approvals are essential.

EXAMPLE

A callback or independent authentication is used before activating a new bank account.

20. What is reference data management?

ANSWER

Reference data management maintains relatively stable data used by transactions, such as client identifiers, instrument attributes, settlement instructions, calendars and market codes.

EXAMPLE

A wrong account identifier can cause otherwise correct trades to fail at settlement.

Corporate Actions, IPO & RTA

Understand issue processing and investor entitlements from announcement or bid capture through validation, allotment and settlement.

1. What is a corporate action?

ANSWER

A corporate action is an event initiated by an issuer that affects its securities or holders, such as dividends, rights issues, splits, buybacks, mergers or tender offers.

EXAMPLE

A listed company announces a cash dividend to eligible shareholders.

2. What is a mandatory corporate action?

ANSWER

It is an event applied automatically to eligible holders, generally without an election from the investor.

EXAMPLE

A cash dividend or stock split is usually processed automatically for eligible positions.

3. What is a voluntary corporate action?

ANSWER

It requires the holder to decide whether and how to participate, usually by submitting an election before a deadline.

EXAMPLE

A tender offer may allow investors to choose whether to tender shares.

4. What is a rights issue?

ANSWER

A rights issue offers existing shareholders rights to buy additional shares, often at a specified subscription price, typically in proportion to existing holdings.

EXAMPLE

A holder receives 1 right for every 5 shares and can subscribe before the deadline.

5. What is a buyback?

ANSWER

A buyback occurs when a company repurchases its own shares, potentially through market purchases or a tender process.

EXAMPLE

Shareholders may tender shares into a fixed-price buyback offer.

6. What is a stock split?

ANSWER

A stock split increases the number of shares while proportionally reducing price per share, leaving total economic value broadly unchanged at the split moment.

EXAMPLE

In a 2-for-1 split, 100 shares become 200 shares at roughly half the prior price.

7. What is a reverse split?

ANSWER

A reverse split reduces the number of shares while increasing price per share proportionally.

EXAMPLE

In a 1-for-10 reverse split, 1,000 shares become 100 shares.

8. What is ex-date?

ANSWER

The ex-date is the date from which a buyer of the security is generally not entitled to the upcoming distribution under the applicable market convention.

EXAMPLE

Buying on or after the ex-dividend date generally means the buyer does not receive that announced dividend.

9. What is record date?

ANSWER

Record date is the issuer's cut-off date for identifying registered holders eligible for the corporate action, subject to market settlement rules.

EXAMPLE

The issuer checks holders on the record date to determine dividend entitlement.

10. What is payment date?

ANSWER

Payment date is when cash, securities or other consideration from the corporate action is distributed to entitled holders.

EXAMPLE

Dividend cash is credited to eligible accounts on the payment date.

11. What is entitlement calculation?

ANSWER

Entitlement calculation determines the amount of cash, securities or rights due based on eligible position and event terms.

EXAMPLE

If dividend is 2 per share and position is 500 shares, gross entitlement is 1,000 before tax/fees.

12. What are common corporate-action operational risks?

ANSWER

Key risks include missed elections, incorrect positions, wrong event terms, tax errors, late notifications, cash/stock mis-posting and reconciliation failures.

EXAMPLE

Missing a voluntary tender deadline can cause a client to lose the opportunity to participate.

13. How would you investigate a corporate-action break?

ANSWER

Validate event announcement, key dates, eligible position, election, rate, tax, FX, custodian credit and internal booking; compare expected versus actual and document the root cause.

EXAMPLE

A dividend difference may be caused by tax withholding rather than an incorrect position.

14. Why is position reconciliation important before corporate actions?

ANSWER

Entitlements depend on eligible positions, so unresolved position breaks can produce wrong payments or stock allocations.

EXAMPLE

A 100-share position difference can directly cause an incorrect dividend amount.

15. What is an IPO allotment process at a high level?

ANSWER

Applications/bids are collected and validated, issue data is reconciled, invalid entries are rejected, allocation rules are applied, allotment/non-allotment outcomes are finalized, funds and securities are settled and reporting is completed. Exact workflow depends on market rules.

EXAMPLE

A bid failing validation may appear in a technical rejection report before allotment.

16. What is a technical rejection in issue processing?

ANSWER

A technical rejection is an application rejected due to rule-based or data-related deficiencies rather than allocation scarcity, according to the specific issue and market rules.

EXAMPLE

An application with invalid bid data may be excluded before allotment.

17. What is an open offer?

ANSWER

An open offer is an offer to acquire shares from public shareholders, commonly arising in takeover or control-change contexts subject to local regulations.

EXAMPLE

Eligible shareholders may tender shares during the offer period.

18. What controls matter in IPO/RTA operations?

ANSWER

Key controls include bid/data validation, reconciliation to bank/exchange files, maker-checker review, technical rejection checks, allotment controls, fund reconciliation and regulatory reporting accuracy.

EXAMPLE

BSE/NSE bid data is compared with bank certificates and internal records before final processing.

19. What is non-allotment?

ANSWER

Non-allotment means an applicant does not receive shares, either because of allocation outcome or ineligibility depending on issue rules.

EXAMPLE

In an oversubscribed issue, some valid applications may receive no shares.

20. What is corporate-action election risk?

ANSWER

Election risk is the risk that a voluntary instruction is missing, late, incorrect or transmitted to the wrong option, resulting in financial or client impact.

EXAMPLE

An investor intended to accept a tender but the instruction missed the custodian cut-off.

KYC & AML

Identify and verify customers, assess financial-crime risk, screen relevant parties, monitor activity and escalate exceptions with a clear audit trail.

1. What is KYC?

ANSWER

Know Your Customer is the process of identifying and verifying a customer and understanding the nature and purpose of the relationship so the institution can assess risk and meet legal/regulatory obligations.

EXAMPLE

Before onboarding a company, the bank verifies legal existence, ownership, authorized signatories and expected activity.

2. What is AML?

ANSWER

Anti-Money Laundering is the framework of laws, controls, monitoring and reporting designed to prevent criminals from disguising illicit funds as legitimate.

EXAMPLE

A bank screens customers, monitors transactions and escalates suspicious patterns.

3. What is the difference between KYC and AML?

ANSWER

KYC is one component of AML focused on customer identity, ownership, risk and ongoing profile. AML is broader and includes KYC, sanctions screening, transaction monitoring, investigations, reporting and governance.

EXAMPLE

Verifying a passport is KYC; reviewing unusual transfers and filing an internal escalation is part of AML.

4. Why is KYC required?

ANSWER

KYC helps prevent identity misuse, financial crime, sanctions breaches and fraud, and helps the institution understand whether customer activity is consistent with the expected profile.

EXAMPLE

A bank identifies a high-risk ownership structure before permitting transactions.

5. What is Customer Due Diligence?

ANSWER

CDD is the set of measures used to identify and verify the customer and beneficial owners, understand purpose/nature of relationship and assess risk, with ongoing monitoring.

EXAMPLE

For a corporate, CDD includes incorporation documents, ownership, business activity and expected transaction profile.

6. What is Enhanced Due Diligence?

ANSWER

EDD is deeper review applied to higher-risk relationships. It can include additional documents, senior approval, deeper ownership/source-of-wealth review and more frequent monitoring.

EXAMPLE

A high-risk PEP relationship may require enhanced source-of-wealth evidence and senior approval.

7. When is EDD normally required?

ANSWER

EDD may be required where risk is elevated due to customer type, geography, product, delivery channel, ownership complexity, PEP exposure, adverse information or unusual activity, based on law and policy.

EXAMPLE

A company with opaque cross-border ownership in a higher-risk jurisdiction may trigger EDD.

8. What is Simplified Due Diligence?

ANSWER

Where permitted by law and supported by lower risk, simplified measures may reduce the intensity of certain checks, but identity and core legal requirements still apply.

EXAMPLE

A regulated low-risk institution may receive a streamlined review under policy, subject to local rules.

9. What is beneficial ownership?

ANSWER

Beneficial ownership identifies the natural person who ultimately owns or controls a customer, directly or indirectly, or otherwise exercises ultimate effective control.

EXAMPLE

A company is owned by two holding companies, but the ultimate individual controlling them is the beneficial owner.

10. Why do we identify UBOs?

ANSWER

UBO identification prevents criminals from hiding behind legal entities and helps institutions assess ownership, sanctions, PEP and financial-crime risk.

EXAMPLE

A shell company may appear low risk until the actual controlling individual is identified.

11. What is a PEP?

ANSWER

A Politically Exposed Person is an individual entrusted with a prominent public function, with related categories defined by law or policy. PEP status increases corruption/bribery exposure and requires risk-based controls; it is not proof of wrongdoing.

EXAMPLE

A senior government official opening an account may trigger PEP-related EDD.

12. What is a close associate of a PEP?

ANSWER

Depending on regulation, it may include persons with close business or ownership relationships with a PEP or other defined connections.

EXAMPLE

A business partner who jointly owns a company with a PEP may be treated as a close associate.

13. What is a family member of a PEP?

ANSWER

Definitions vary, but regulations often include close relatives such as spouse/partner, children and their spouses/partners, and parents.

EXAMPLE

A bank may apply additional review to the spouse of a senior public official.

14. What is sanctions screening?

ANSWER

Sanctions screening compares customers, beneficial owners, counterparties and transactions against applicable sanctions lists and restrictions.

EXAMPLE

A beneficiary name matches a listed person and the transaction is stopped for investigation.

15. What is a sanctions false positive?

ANSWER

A false positive is a system alert where the screened party resembles a listed name but, after review, is determined not to be the sanctioned person/entity.

EXAMPLE

Two people share the same name, but date of birth and nationality differ.

16. What is a true sanctions match?

ANSWER

A true match is when available identifiers support that the screened party is the listed sanctioned person or entity, requiring action under applicable law/policy.

EXAMPLE

Name, DOB, nationality and identification details all align with the sanctions record.

17. What is adverse media screening?

ANSWER

Adverse media screening reviews credible public information for allegations or evidence of financial crime, corruption, fraud, terrorism, sanctions evasion or other relevant risk.

EXAMPLE

News reports link a company director to an ongoing corruption investigation.

18. How should adverse media be assessed?

ANSWER

Assess source credibility, recency, relevance, severity, identity match, legal status and connection to the customer. Avoid treating an allegation as a proven fact.

EXAMPLE

A low-quality anonymous blog should not be weighted the same as a court filing or reputable news investigation.

19. What is source of funds?

ANSWER

Source of Funds explains where the money used in a particular relationship or transaction comes from, such as salary, business revenue, sale proceeds or investment redemption.

EXAMPLE

A customer funds an investment account using proceeds from the sale of property, supported by sale documents and bank statements.

20. What is source of wealth?

ANSWER

Source of Wealth explains how the customer accumulated overall wealth over time, such as business ownership, employment, inheritance or investments.

EXAMPLE

A business owner demonstrates wealth accumulation through audited company profits over several years.

21. What is the difference between source of funds and source of wealth?

ANSWER

Source of funds is transaction/relationship-specific money origin; source of wealth is the broader origin of total wealth.

EXAMPLE

A wealthy customer may have wealth from a long-term business but fund one transaction using a property sale.

22. What is customer risk rating?

ANSWER

A customer risk rating is a structured assessment of financial-crime risk using factors such as geography, product, customer type, ownership, channel, PEP status and expected activity.

EXAMPLE

A domestic salaried customer may rate lower than a complex offshore entity with high-risk cross-border flows.

23. What factors can increase KYC risk?

ANSWER

Examples include opaque ownership, high-risk geographies, cash-intensive business, PEP exposure, sanctions proximity, high-risk products, unusual expected activity and negative information.

EXAMPLE

A newly formed trading company with multiple offshore owners and large international payments may receive a higher rating.

24. What is ongoing due diligence?

ANSWER

Ongoing due diligence keeps customer information and risk assessment current and checks that transactions remain consistent with known profile.

EXAMPLE

A sudden change from local payments to large cross-border transfers triggers profile review.

25. What is periodic KYC review?

ANSWER

A periodic review refreshes KYC information and risk at intervals determined by regulation/policy and customer risk level.

EXAMPLE

High-risk customers may be reviewed more frequently than low-risk customers.

26. What is event-driven KYC review?

ANSWER

An event-driven review is triggered by a material change such as ownership, address, business activity, PEP status, adverse media or unusual transactions.

EXAMPLE

A corporate customer changes its UBO, prompting immediate KYC refresh.

27. What is a KYC refresh?

ANSWER

A KYC refresh updates customer data, documents, ownership, risk rating and supporting evidence to maintain an accurate profile.

EXAMPLE

An expired ID is replaced and the customer's employment and address are reconfirmed.

28. What is identity verification?

ANSWER

Identity verification confirms that the customer is who they claim to be using reliable documents, databases or approved digital methods.

EXAMPLE

A passport is validated and the photo/details are matched to the applicant.

29. What is documentary verification?

ANSWER

Documentary verification relies on approved documents such as passports, licenses or incorporation certificates.

EXAMPLE

A company certificate of incorporation is checked for legal name and registration number.

30. What is non-documentary verification?

ANSWER

Non-documentary methods use reliable electronic data sources, database checks or other approved evidence rather than only physical documents.

EXAMPLE

A regulated eKYC service confirms identity against an authoritative database.

31. What is a shell company?

ANSWER

A shell company has little or no independent operating activity. Shells can be legitimate but may increase risk because they can obscure ownership or movement of funds.

EXAMPLE

A company with no employees, premises or clear business purpose routes large payments through multiple countries.

32. What is a front company?

ANSWER

A front company appears to conduct legitimate business but is used partly or primarily to hide criminal activity or illicit proceeds.

EXAMPLE

A cash business inflates sales to introduce criminal cash into the banking system.

33. What is money laundering?

ANSWER

Money laundering is the process of concealing the criminal origin, ownership or movement of illicit proceeds so they appear legitimate.

EXAMPLE

Drug proceeds are moved through layered transfers and later invested in property.

34. What are the classic stages of money laundering?

ANSWER

The traditional model is placement, layering and integration, although real cases may not follow these stages neatly.

EXAMPLE

Cash is deposited (placement), moved through multiple accounts (layering), then used to buy legitimate assets (integration).

35. What is placement?
ANSWER
Placement introduces illicit funds into the financial system or economy.
EXAMPLE
Large cash proceeds are broken into smaller deposits.

36. What is layering?
ANSWER
Layering uses multiple transactions, entities or jurisdictions to make the audit trail harder to follow.
EXAMPLE
Funds move through several companies and countries with no clear commercial purpose.

37. What is integration?
ANSWER
Integration reintroduces laundered funds into the legitimate economy as apparently lawful wealth.
EXAMPLE
Laundered money is used to purchase a legitimate business or real estate.

38. What is structuring or smurfing?
ANSWER
Structuring breaks transactions into smaller amounts to avoid reporting or monitoring thresholds.
EXAMPLE
Instead of one large cash deposit, multiple smaller deposits are made across branches.

39. What is a mule account?
ANSWER
A money-mule account is used to receive or transfer funds for criminals, sometimes knowingly and sometimes through deception.
EXAMPLE
A student is paid to receive funds and immediately transfer them abroad.

40. What is trade-based money laundering?
ANSWER
TBML uses trade transactions to disguise value transfer through techniques such as over/under-invoicing, phantom shipments or multiple invoicing.
EXAMPLE
Goods worth 100,000 are invoiced at 300,000 to move value across borders.

41. What is terrorist financing?
ANSWER
Terrorist financing involves raising, moving or using funds to support terrorist activity. Funds can come from legitimate or illicit sources.
EXAMPLE
A seemingly legitimate charity diverts part of donations to a terrorist organization.

42. How does terrorist financing differ from money laundering?

ANSWER

Money laundering focuses on disguising illicit origin; terrorist financing may involve legitimate or illicit funds and focuses on their prohibited destination/use.

EXAMPLE

Lawful salary funds can still become terrorist financing if knowingly directed to terrorism.

43. What is proliferation financing?

ANSWER

Proliferation financing involves providing funds or financial services connected to proliferation of weapons of mass destruction, subject to applicable laws and sanctions.

EXAMPLE

Payments involving a sanctioned entity linked to prohibited dual-use procurement may raise proliferation-financing concerns.

44. What is transaction monitoring?

ANSWER

Transaction monitoring uses rules, scenarios, analytics and review to identify activity inconsistent with expected behavior or known financial-crime typologies.

EXAMPLE

A dormant account suddenly receives multiple high-value international transfers.

45. What is a transaction-monitoring alert?

ANSWER

An alert is a system-generated or manually identified exception indicating activity that needs review; it is not itself proof of suspicious activity.

EXAMPLE

A rapid movement of funds through an account triggers a velocity rule.

46. What is a false positive in AML monitoring?

ANSWER

A false positive is an alert that appears unusual by rule but is explained by legitimate customer activity after investigation.

EXAMPLE

A customer receives a large annual bonus that matches employment and documents.

47. What is a true positive or true hit in AML review?

ANSWER

It is an alert where investigation confirms meaningful concern requiring escalation under policy; terminology varies by institution.

EXAMPLE

Transactions are inconsistent with profile and linked to adverse information, so the case is escalated.

48. How do you investigate an AML alert?

ANSWER

Review customer profile, KYC, counterparties, transaction history, amounts, timing, geography, purpose, supporting documents, linked accounts and relevant external information; compare against expected behavior and document conclusions.

EXAMPLE

For unusual transfers, compare them with stated business activity and invoices before deciding whether to close or escalate.

49. What is a red flag?

ANSWER

A red flag is an indicator of potential financial crime that warrants review in context. One red flag alone is not always sufficient to conclude suspicious activity.

EXAMPLE

Frequent transfers to unrelated third parties with no clear business purpose may be a red flag.

50. Give examples of AML red flags for individuals.

ANSWER

Examples include unexplained high-value activity, rapid in-and-out movement, structuring, multiple unrelated third-party transfers, inconsistent occupation/income and unexplained high-risk geography exposure.

EXAMPLE

A low-income profile receives repeated six-figure transfers from unrelated entities.

51. Give examples of AML red flags for companies.

ANSWER

Examples include opaque ownership, transactions inconsistent with business, round-dollar cross-border transfers, payments to unrelated sectors, rapid pass-through activity and unexplained high-risk jurisdictions.

EXAMPLE

A small local consultancy sends large payments to commodity traders in several countries.

52. What is rapid movement of funds?

ANSWER

It is money entering and leaving an account quickly with limited economic purpose or retained balance, which may indicate layering depending on context.

EXAMPLE

500,000 arrives and 495,000 is transferred to multiple overseas parties the same day.

53. What is round-dollar activity and why can it matter?

ANSWER

Repeated large round-number transfers can be a risk indicator because legitimate invoices often vary, though many legitimate transactions are also round numbers. Context matters.

EXAMPLE

A trading company repeatedly wires exactly 100,000 to unrelated beneficiaries without invoices.

54. What is dormant-account reactivation risk?

ANSWER

Sudden high-value activity after long inactivity can be unusual and may indicate account takeover, mule activity or a material customer-profile change.

EXAMPLE

An account unused for two years suddenly receives multiple international wires.

55. What is funnel-account behavior?

ANSWER

A funnel account receives deposits from geographically dispersed sources followed by withdrawals or transfers elsewhere, potentially indicating illicit fund aggregation.

EXAMPLE

Cash deposits occur in many cities, then funds are withdrawn near a border.

56. What is an AML case?
ANSWER
An AML case groups relevant alerts, customer information, transactions, research and investigation notes for a reasoned disposition or escalation.
EXAMPLE
Several related alerts for the same customer are consolidated into one investigation case.

57. What is alert disposition?
ANSWER
Alert disposition is the documented decision to close, continue monitoring, refer or escalate an alert based on evidence and policy.
EXAMPLE
The analyst closes an alert as expected activity after verifying a documented property sale.

58. What should good AML case notes contain?
ANSWER
They should explain the trigger, relevant facts, review performed, supporting evidence, risk factors, customer-profile comparison, rationale and final decision in clear reproducible language.
EXAMPLE
A reviewer should understand why a large transfer was considered reasonable without re-performing the full investigation.

59. What is escalation in AML?
ANSWER
Escalation is referral of a concern to a higher-level investigator, MLRO/compliance function or designated team under policy for further assessment and possible regulatory reporting.
EXAMPLE
An analyst identifies unexplained layering and escalates to the financial-crime investigations team.

60. What is an STR or SAR?
ANSWER
A Suspicious Transaction/Activity Report is a confidential report to the competent authority when legal thresholds for suspicion are met. Exact terminology and requirements vary by jurisdiction.
EXAMPLE
After internal investigation, the authorized compliance function files a report with the relevant FIU.

61. Can you tell a customer that an STR/SAR was filed?
ANSWER
Generally no. Many jurisdictions prohibit tipping off or unauthorized disclosure of suspicious-reporting activity. Follow local law and internal policy.
EXAMPLE
A customer asks why a transaction is delayed; staff should not reveal that a suspicious report was filed.

62. What is tipping off?
ANSWER
Tipping off is improperly informing a person that they are the subject of a suspicious-activity report or investigation in a way prohibited by law.
EXAMPLE
An employee tells a customer, “Compliance filed a SAR on you,” which may violate law.

63. What is the FATF?

ANSWER

The Financial Action Task Force is an intergovernmental body that sets international standards for combating money laundering, terrorist financing and proliferation financing.

EXAMPLE

Countries are assessed against FATF Recommendations and effectiveness outcomes.

64. What is the FATF Grey List?

ANSWER

It refers to jurisdictions under increased monitoring that have committed to address strategic AML/CFT deficiencies. It does not automatically mean all transactions from those countries are prohibited.

EXAMPLE

A bank may apply enhanced risk assessment to customers with material exposure to a grey-listed jurisdiction.

65. What is the FATF Black List?

ANSWER

FATF calls this "High-Risk Jurisdictions subject to a Call for Action." Such jurisdictions have serious strategic deficiencies and may require enhanced measures or countermeasures, depending on current FATF statements and local rules.

EXAMPLE

A financial institution applies the regulator-required enhanced controls for exposure to a listed high-risk jurisdiction.

66. What is correspondent banking AML risk?

ANSWER

Correspondent banking can create indirect exposure to the respondent bank's customers and jurisdictions, requiring assessment of the respondent's ownership, regulation, AML controls and nested relationships.

EXAMPLE

A bank providing USD clearing reviews the respondent bank's AML program and geographic footprint.

67. What is nested correspondent banking?

ANSWER

It occurs when a respondent bank allows other financial institutions to access the correspondent relationship indirectly. This can reduce transparency and increase risk.

EXAMPLE

Bank A provides clearing to Bank B, which in turn provides access to several smaller banks.

68. What is a payable-through account risk?

ANSWER

A payable-through arrangement may allow the respondent bank's customers to transact directly through the correspondent account, requiring strong controls and due diligence.

EXAMPLE

Customers of a foreign bank can initiate payments directly through its correspondent account.

69. What is KYC for a corporate customer?

ANSWER

Corporate KYC typically verifies legal existence, registered address, business activity, directors/authorized signatories, ownership/control, UBOs, expected activity, source of funds/wealth where relevant and sanctions/PEP risk.

EXAMPLE

For a private company, the analyst reviews incorporation records and traces ownership to natural-person UBOs.

70. What is KYC for a merchant in payment operations?

ANSWER

Merchant KYC generally verifies the legal entity, business model, website/app, owners, bank account, licenses where applicable, products/services, expected transaction activity and risk/compliance information. Exact checks depend on PSP/acquirer policy.

EXAMPLE

A merchant selling electronics provides company documents, UBO data, bank proof and website details before activation.

71. What is merchant risk classification?

ANSWER

It assesses the merchant's industry, products, geography, sales model, chargeback/fraud exposure, transaction profile, ownership and regulatory factors to determine onboarding controls and monitoring.

EXAMPLE

A low-risk local retailer is treated differently from a high-risk cross-border digital-service merchant.

72. Why is website review important in merchant onboarding?

ANSWER

It helps confirm the business is genuine, products/services match the declared model, policies are visible and prohibited/restricted activity is not being hidden.

EXAMPLE

A merchant declares clothing sales, but the website actually sells restricted products, creating a serious onboarding issue.

73. What is bank-account verification in KYC?

ANSWER

It confirms that the settlement or operating bank account belongs to the expected customer/merchant and matches approved details.

EXAMPLE

A penny-drop or bank-letter check validates account name before payouts are enabled.

74. What is penny-drop verification?

ANSWER

Penny drop is a small-value bank-account validation method used in some markets to confirm account validity/name. It supports, but does not replace, broader KYC controls.

EXAMPLE

A nominal amount is sent to the merchant account and returned account-name data is checked.

75. What is maker-checker control in KYC?

ANSWER

One person prepares or reviews KYC data and a second authorized person independently checks and approves it, reducing error and fraud risk.

EXAMPLE

An analyst enters UBO details; a reviewer verifies documents before account activation.

76. Why is document expiry monitoring important?

ANSWER

Expired identity or licenses may make KYC information outdated or invalid, so systems should flag documents for refresh according to law/policy.

EXAMPLE

A trade license expiring next month triggers a renewal request before continued service.

77. What is data-quality risk in KYC?

ANSWER

Incorrect or incomplete data can cause missed sanctions matches, wrong risk ratings, failed reporting and poor transaction-monitoring outcomes.

EXAMPLE

A wrong date of birth may cause a sanctions-screening engine to incorrectly dismiss a potential match.

78. What is name-screening fuzzy matching?

ANSWER

Fuzzy matching compares names using similarity logic to account for spelling differences, transliteration and ordering. It increases detection but can also create false positives.

EXAMPLE

“Mohammed Al Hassan” may be compared with “Muhammad Al-Hassan.”

79. Why are aliases important in screening?

ANSWER

Sanctioned or high-risk parties may use alternate names, transliterations, former names or trade names, so screening should consider known aliases.

EXAMPLE

A listed entity operates under a commercial alias not identical to its legal name.

80. What is geographic risk?

ANSWER

Geographic risk assesses exposure to countries or regions associated with sanctions, corruption, weak AML controls, terrorism, secrecy or other elevated threats, based on authoritative sources and policy.

EXAMPLE

A customer with large flows to multiple high-risk jurisdictions may receive enhanced monitoring.

81. What is product risk in AML?

ANSWER

Some products provide greater anonymity, speed, cross-border reach or complexity and therefore may carry higher financial-crime risk.

EXAMPLE

A high-value international payment product can carry more AML exposure than a basic domestic savings account.

82. What is channel risk?

ANSWER

Channel risk relates to how customers access services, such as remote/non-face-to-face onboarding, agents or digital channels, which can affect impersonation and fraud risk.

EXAMPLE

Fully remote onboarding may require stronger digital identity verification.

83. What is expected activity in KYC?

ANSWER

Expected activity is the reasonable anticipated transaction behavior based on business, income, product use, geography, volume and value. It provides a baseline for monitoring.

EXAMPLE

A small local merchant expects 5,000 monthly domestic transactions, not occasional multimillion-dollar overseas wires.

84. What should you do when actual activity is inconsistent with expected activity?

ANSWER

Review the customer profile, obtain a legitimate explanation/evidence where appropriate, assess whether KYC must be updated and escalate if concerns remain.

EXAMPLE

A merchant suddenly processing 20 times expected volume may require business-model validation and enhanced monitoring.

85. How do you prioritize AML alerts?

ANSWER

Use risk-based factors such as sanctions/PEP involvement, transaction value, typology severity, customer risk, geography, prior cases, vulnerability and regulatory deadlines.

EXAMPLE

A possible sanctions match is generally prioritized above a routine low-value velocity alert.

86. What is alert ageing?

ANSWER

Alert ageing tracks how long an alert remains unresolved. Ageing controls support timely investigation and escalation.

EXAMPLE

An alert pending beyond the internal SLA appears on an exception report for management review.

87. What is quality assurance in AML investigations?

ANSWER

QA independently checks whether investigations follow policy, evidence is sufficient, conclusions are logical and documentation meets standards.

EXAMPLE

A QA reviewer samples closed cases and identifies weak rationale or missing counterparty analysis.

88. What is model or scenario tuning in transaction monitoring?

ANSWER

It adjusts rules, thresholds or analytics to improve detection effectiveness and reduce unproductive false positives while preserving risk coverage.

EXAMPLE

A threshold is recalibrated after analysis shows thousands of low-risk alerts with no meaningful findings.

89. What is a typology?

ANSWER

A typology is a recognized pattern or method used in financial crime, based on cases, intelligence or regulatory guidance.

EXAMPLE

Rapid pass-through of funds across multiple jurisdictions is a common layering typology.

90. How would you handle an incomplete KYC file?

ANSWER

Identify missing mandatory items, place the relationship in the appropriate pending/restricted status, request evidence, document follow-up and do not bypass required controls for business urgency.

EXAMPLE

A merchant lacks verified UBO documentation, so activation remains pending.

91. What would you do if business pressures you to approve a high-risk customer quickly?

ANSWER

Follow policy and regulatory requirements, explain the missing controls, escalate through governance if necessary and do not override mandatory due diligence without authorized exception procedures.

EXAMPLE

Sales requests same-day activation, but sanctions and UBO checks are incomplete; onboarding remains blocked.

92. How do you balance customer experience with KYC controls?

ANSWER

Use clear requirements, risk-based workflows, digital verification, reusable verified data and timely communication while keeping mandatory controls intact.

EXAMPLE

A checklist sent at application stage reduces back-and-forth without weakening review standards.

93. What is confidentiality in KYC/AML work?

ANSWER

Customer data and investigation information must be handled on a need-to-know basis with secure systems, access controls and lawful disclosure.

EXAMPLE

Investigation notes are not shared with unrelated teams or external parties.

94. What is an audit trail in AML?

ANSWER

An audit trail records who performed actions, what evidence was reviewed, decisions made, timestamps and approvals so the process can be reconstructed.

EXAMPLE

The case system records the analyst, reviewer, documents and final disposition.

95. How would you explain a difficult AML alert in an interview?

ANSWER

Use a structured approach: trigger, customer profile, transaction facts, checks performed, evidence, red flags, mitigating factors, decision and escalation. Avoid claiming a regulatory filing unless you actually had authority/experience.

EXAMPLE

“The alert was caused by unusual volume; I compared it with expected merchant activity, reviewed supporting records and escalated unresolved inconsistencies.”

ISDA, Collateral & OTC Derivatives

Understand the legal and operational framework used to control OTC counterparty exposure, margin calls and collateral movements.

1. What is collateral management?

ANSWER

Collateral management is the process of calculating exposure, determining required collateral under legal terms, issuing/receiving margin calls, moving assets, valuing positions and resolving disputes.

EXAMPLE

A derivatives counterparty with mark-to-market exposure may need to post eligible cash or securities.

2. Why is collateral required?

ANSWER

Collateral reduces counterparty credit exposure by providing assets that can be used to offset losses if the counterparty defaults.

EXAMPLE

A bank with 5 million exposure receives collateral to reduce unsecured risk.

3. What is eligible collateral?

ANSWER

Eligible collateral is the cash or securities permitted under the governing agreement, often subject to currency, credit quality, concentration and haircut rules.

EXAMPLE

An agreement may allow USD cash and certain government bonds but not equities.

4. What is a haircut?

ANSWER

A haircut reduces the collateral value credited for risk purposes to protect against market-value fluctuations or liquidation risk.

EXAMPLE

A bond worth 1 million with a 5% haircut provides 950,000 collateral value.

5. What is a margin call?

ANSWER

A margin call is a request to deliver additional collateral when calculated exposure exceeds agreed thresholds or requirements.

EXAMPLE

After adverse market movement, one party requests 2 million additional collateral.

6. What is a collateral dispute?

ANSWER

A dispute occurs when counterparties disagree about exposure, valuation, collateral balance, eligibility or call amount.

EXAMPLE

One firm calculates a call of 3 million while the counterparty calculates 2.4 million.

7. How do you investigate a collateral dispute?

ANSWER

Compare trade population, valuations, market data, FX, collateral balances, legal terms, thresholds, haircuts and timing. Isolate the largest drivers and reconcile them systematically.

EXAMPLE

A missing swap on one side explains most of the valuation difference.

8. What is collateral substitution?

ANSWER

Substitution replaces one collateral asset with another while maintaining required collateral value and satisfying eligibility rules.

EXAMPLE

A counterparty replaces government bonds with cash after approval.

9. What is collateral optimization?

ANSWER

Optimization selects collateral that meets legal requirements while minimizing funding, liquidity and opportunity cost.

EXAMPLE

A firm posts lower-cost eligible securities instead of scarce cash.

10. What is rehypothecation?

ANSWER

Where legally permitted and contractually allowed, rehypothecation is the reuse of received collateral by the collateral taker. It introduces legal and liquidity considerations.

EXAMPLE

A prime broker may reuse certain client collateral under agreed terms.

11. What is an ISDA Master Agreement?

ANSWER

It is a standardized legal framework widely used for OTC derivatives, setting common contractual terms across transactions between two parties.

EXAMPLE

Multiple swaps between two banks can be governed by one master agreement plus trade confirmations.

12. What is a CSA?

ANSWER

A Credit Support Annex is collateral documentation linked to an ISDA agreement that defines collateral terms such as eligible assets, valuation, thresholds, timing and dispute process.

EXAMPLE

The CSA specifies that USD cash is eligible and calls are exchanged daily.

13. What is netting?

ANSWER

Netting offsets obligations so only a net amount is payable or exposed, subject to contractual and legal enforceability.

EXAMPLE

Instead of paying 10 and receiving 8, the party pays net 2.

14. What is close-out netting?

ANSWER

On default/termination, covered transactions are valued and combined into a single net amount according to the agreement.

EXAMPLE

Several swaps with gains and losses are terminated and converted into one close-out balance.

15. What is mark-to-market exposure?

ANSWER

It is the current replacement-value exposure based on prevailing market values of outstanding trades.

EXAMPLE

If a swap has positive value of 4 million to the bank, the bank may have credit exposure before collateral.

16. What are collateral operational risks?

ANSWER

Risks include wrong calls, missed deadlines, incorrect legal terms, ineligible collateral, settlement failures, valuation breaks and poor dispute ageing.

EXAMPLE

A missed margin call can leave the firm under-collateralized overnight.

17. What lifecycle events occur in OTC derivatives?

ANSWER

Depending on product: resets, fixings, payments, amendments, novations, partial terminations, collateral calls, exercises and final maturity/termination.

EXAMPLE

An IRS has periodic floating-rate resets and payment dates.

18. What is a novation?

ANSWER

A novation transfers contractual rights and obligations from one party to another with required consent, replacing the original counterparty relationship for the novated trade.

EXAMPLE

A hedge fund transfers a swap position from one prime broker to another.

19. What is early termination?

ANSWER

It ends a derivative before scheduled maturity, requiring valuation and settlement of termination amounts under agreed terms.

EXAMPLE

A client closes an IRS two years before maturity and pays/receives the mark-to-market value.

20. Why is legal-documentation data important operationally?

ANSWER

Margin calculations and processing depend on accurate legal terms. Incorrect thresholds, currencies or eligibility data can create financial and legal exposure.

EXAMPLE

Loading the wrong threshold can generate incorrect margin calls every day.

Settlement, Fail Management & Reconciliation

Ensure cash and securities reach the correct parties on time, investigate settlement failures and prove internal books agree with external records.

1. What is securities settlement?

ANSWER

Settlement is the completion of a securities trade through transfer of securities and corresponding cash or consideration.

EXAMPLE

Buyer receives 1,000 shares and seller receives the agreed cash amount.

2. What is DVP?

ANSWER

Delivery versus Payment links securities delivery with cash payment so one leg is intended to occur only if the other occurs, reducing principal risk.

EXAMPLE

The securities depository releases shares when corresponding funds are available.

3. What is FOP?

ANSWER

Free of Payment is a securities transfer without an associated cash payment in the same settlement instruction.

EXAMPLE

An internal portfolio transfer moves securities between accounts without cash consideration.

4. What is a settlement fail?

ANSWER

A settlement fail occurs when securities or cash are not delivered as required on the contractual settlement date.

EXAMPLE

Seller lacks sufficient securities on T+1, so the trade remains unsettled.

5. What causes settlement failures?

ANSWER

Common causes include insufficient securities/cash, wrong SSI, unmatched trades, market cut-off misses, corporate-action restrictions, system issues or counterparty delays.

EXAMPLE

A wrong custodian account number causes instruction rejection.

6. What is fail ageing?

ANSWER

Fail ageing tracks how long a settlement remains outstanding to prioritize risk, charges and escalation.

EXAMPLE

A five-day-old fail receives higher escalation than a same-day operational delay.

7. What is a buy-in?

ANSWER

A buy-in is a process where replacement securities are purchased because the seller failed to deliver, with costs allocated according to market rules.

EXAMPLE

A failed seller is subject to a buy-in after the applicable deadline.

8. What is a sell-out?

ANSWER

A sell-out can occur where a buyer fails to pay and securities are sold to recover funds, subject to applicable rules and agreements.

EXAMPLE

The position is sold because settlement cash was not provided.

9. How would you investigate a failed trade?

ANSWER

Check matching status, settlement instruction, cash/stock availability, custodian status, market messages, cut-offs and counterparty feedback; identify root cause and coordinate correction.

EXAMPLE

A fail is traced to an outdated SSI and the correct instruction is resubmitted.

10. What is reconciliation?

ANSWER

Reconciliation compares two sets of records to identify and resolve differences, protecting the accuracy of cash, securities and transaction books.

EXAMPLE

Internal cash ledger is compared with the external bank statement.

11. What is a reconciliation break?

ANSWER

A break is a difference between records being reconciled, caused by timing, missing entries, duplicates, wrong amounts, FX, fees or other processing issues.

EXAMPLE

Internal cash shows 100,000 more than the bank statement due to an unposted outgoing payment.

12. What is Nostro reconciliation?

ANSWER

It reconciles a bank's internal record of a foreign-currency correspondent account with the statement provided by the correspondent bank.

EXAMPLE

The internal USD Nostro ledger is compared with the correspondent's USD statement.

13. What is a Nostro account?

ANSWER

A Nostro account is “our account with you”: a bank's account held with another bank, often in a foreign currency, used for payments and settlement.

EXAMPLE

A UAE bank may hold USD with a US correspondent bank.

14. What can cause a Nostro break?

ANSWER

Timing differences, bank charges, wrong value dates, missing postings, duplicate entries, FX differences and unidentified receipts/payments are common causes.

EXAMPLE

A correspondent deducts a fee that has not yet been recorded internally.

15. What is Depot reconciliation?

ANSWER

Depot reconciliation compares internal securities positions with positions held by a custodian/depository or other external source.

EXAMPLE

Internal records show 50,000 shares while custodian statement shows 49,500.

16. What causes a Depot break?

ANSWER

Unsettled trades, missed corporate actions, wrong postings, transfers, fees, stock lending or timing differences may create position mismatches.

EXAMPLE

A stock dividend is credited by the custodian but not yet posted internally.

17. How do you investigate a reconciliation break?

ANSWER

Classify the break, compare transaction-level detail, identify first date of difference, trace source records, determine timing vs true error, correct where authorized and document root cause.

EXAMPLE

A 1,000-share difference traces to a settled trade missing from the internal position system.

18. What is root-cause analysis in reconciliation?

ANSWER

It identifies the underlying process failure rather than only clearing the immediate break, enabling preventive action.

EXAMPLE

Repeated breaks caused by manual SSI entry lead to a reference-data automation fix.

19. What is break ageing?

ANSWER

Break ageing measures how long an exception remains unresolved and is used to prioritize action and escalation.

EXAMPLE

Breaks older than 30 days are escalated to senior operations management.

20. What controls improve reconciliation quality?

ANSWER

Automated matching, clear ownership, materiality/tolerance rules, ageing, escalation, maker-checker, root-cause tracking and independent review improve control effectiveness.

EXAMPLE

Daily automated matching resolves exact matches and routes only exceptions to analysts.

Personalized Resume Interview Q&A

Present your real experience clearly: explain the situation, your responsibility, the action or control you performed, and the business outcome.

1. Tell me about yourself - detailed interview introduction (90-120 seconds).

ANSWER

I believe that "Life is not about finding yourself; it is about creating yourself." This mindset has helped me continuously learn, adapt, and grow throughout my career. I started my career with CAMS, where I worked for around 1.5 years in financial operations. During this period, I gained hands-on experience in KYC verification, MIS reporting, Microsoft Excel, and operational processes, which gave me a strong foundation in financial services. Later, I joined Cameo Corporate Services, where I worked on IPO processing, Rights Issues, Buybacks, Corporate Actions, and other investment banking operations. This role helped me develop a solid understanding of capital markets and investment banking processes. Currently, I am working as a Senior Banking Alliance Executive at Primasoft Technology EST in Dubai. My responsibilities include merchant onboarding, KYC verification, compliance checks, banking partner coordination, payment gateway operations, and supporting banking alliance activities. To strengthen my domain knowledge, I completed a Certification in Investment Banking Operations from Imarticus Learning, where I gained knowledge of the Trade Life Cycle, AML/KYC, Derivatives, and Capital Markets. Alongside my professional experience, I have developed strong skills in Microsoft Excel, Power BI, VBA Macro automation, MIS reporting, dashboard development, data analysis, and Mail Merge automation. I have also built multiple Power BI dashboards across different industries to strengthen my analytical thinking and Business Intelligence skills. Now, I am looking for an opportunity where I can combine my Banking and FinTech operations experience with Business Intelligence and data analytics to help organizations make better business decisions, improve operational efficiency, and continue growing professionally.

EXAMPLE

Delivery tip: begin calmly, slightly increase energy when describing Cameo and your current role, then finish strongly on the value you want to create in your next role.

2. Tell me about yourself - short interview introduction (30-45 seconds).

ANSWER

I have around five years of experience across operations and banking-related processes, including payment gateway operations, insurance-related operations and investment banking. Alongside my professional work, I independently developed data analytics skills using Power BI, DAX, Excel, data modelling and other analytical tools. I also use AI tools to improve productivity, analysis and problem solving. Now I am looking for an opportunity where I can combine my operations and domain experience with analytics and technology to create better business insights and solutions.

EXAMPLE

Use this version when the interviewer asks for a quick introduction, during recruiter screening, networking, or when time is limited.

3. Tell me about yourself.

ANSWER

I am an Investment Banking, Banking and FinTech Operations professional with experience across capital-markets operations, corporate actions, IPO/rights/buyback processing, settlement and reconciliation, merchant onboarding, KYC/AML and payment-gateway operations. I also use Power BI, Power Query, Advanced Excel and VBA to improve operational reporting and controls.

EXAMPLE

A 60-90 second answer can connect current banking-alliance work, earlier RTA/capital-markets experience and analytics capability.

Situation → Responsibility → Action / Control → Outcome

4. Walk me through your current role as Senior Banking Alliance Executive.

ANSWER

I manage operational and business reporting for banking alliances, merchant onboarding, KYC verification, compliance review and payment-gateway activities. I coordinate with banks, PSPs, TSPs, merchants and internal teams, validate documentation and use analytics/automation to improve visibility and activation timelines.

EXAMPLE

Example: reviewing a merchant file for completeness, resolving missing partner requirements, then updating MIS/dashboard status until activation.

5. What KYC work do you perform in your current role?

ANSWER

I review merchant and partner documentation for completeness, accuracy, regulatory alignment and internal-policy compliance before submission or activation. I also track documentation status and support resolution of onboarding issues.

EXAMPLE

Example: identifying a mismatch in legal name or bank proof and coordinating corrected documentation before activation.

6. How do you coordinate with banks, PSPs and TSPs?

ANSWER

I gather requirements, validate information, track dependencies, follow up on operational issues and support payment-system integration and merchant activation.

EXAMPLE

Example: a PSP requests additional merchant documents; I coordinate with the merchant, validate the response and update the partner.

7. Describe your experience in IPO and corporate-action operations.

ANSWER

At Cameo Corporate Services I supported end-to-end RTA/capital-markets operations covering IPOs, Rights Issues, Buybacks, Open Offers, Listing Offers, Call Money and Corporate Actions. My work included data validation, technical rejection support, allotment-related records, reconciliation and stakeholder coordination.

EXAMPLE

Example: validating exchange bid data against bank final certificates and internal records before allotment/settlement processing.

8. What did you reconcile in your RTA role?

ANSWER

I performed banking, settlement and transaction reconciliation and investigated mismatches between operational data, bank information and issue-processing records.

EXAMPLE

Example: tracing a difference between transaction records and bank final certificate totals before final processing.

9. How did you use BSE/NSE data?

ANSWER

I processed and validated bid, transaction and operational data from BSE/NSE against bank final certificates, schedule data and internal records to support accurate allotment, non-allotment and settlement processing.

EXAMPLE

Example: checking whether exchange bid totals and bank-certified funds aligned before downstream allotment steps.

10. What are technical rejection reports?

ANSWER

In issue processing, technical rejection reports identify applications that fail defined validation or eligibility rules. My role included helping prepare and validate these reports and related issue-processing data.

EXAMPLE

Example: a bid record with invalid or inconsistent data may be excluded from allotment according to applicable rules.

11. How did you support regulatory reporting?

ANSWER

I supported preparation and validation of data required for SEBI, stock-exchange and other operational/regulatory submissions, focusing on completeness and accuracy.

EXAMPLE

Example: reconciling report totals to source data before the submission was finalized.

12. How did you handle investor/customer queries?

ANSWER

I reviewed transaction and reconciliation data, checked relevant records, coordinated with internal teams where necessary and provided responses consistent with process status and available evidence.

EXAMPLE

Example: investigating why an application did not receive allotment by checking issue-processing records.

13. What KYC experience did you gain at CAMS?

ANSWER

I performed KYC checks, customer-record updates, bank-detail verification, penny-drop validation and final quality review across repository operations.

EXAMPLE

Example: verifying customer bank details and using penny-drop validation before final approval.

14. Explain penny-drop validation from your experience.

ANSWER

Penny-drop validation is a small-value bank-account check used to help verify that an account is valid and the returned account-name information matches expectations. In my role it supported bank-detail verification and quality review.

EXAMPLE

Example: if returned account-holder details do not match the customer record, the case is held for correction.

15. How do you use Power BI in banking operations?

ANSWER

I build operational dashboards to monitor KPIs, transaction trends, success/failure patterns, partner performance and failure reasons, turning raw operational data into management-ready views.

EXAMPLE

Example: a payment-gateway dashboard showing Total Transactions, Success Rate, PSP performance and recurring failure reasons.

16. What problem did your Payment Gateway Operations Dashboard solve?

ANSWER

It centralized operational monitoring across transaction volume, success/failure patterns, PSP/bank performance, merchant performance and failure reasons, making issues easier to identify and prioritize.

EXAMPLE

Example: repeated failures from one PSP can be isolated quickly instead of reviewing raw files manually.

17. What KPIs do you track in payment-gateway operations?

ANSWER

Examples from my project include Total Transactions, Successful Transactions, Failed Transactions, Success Rate, Daily Trends, PSP Performance, Bank Performance and Failure-Reason Analysis.

EXAMPLE

Example: a sudden drop in success rate can be drilled down by bank or PSP.

18. How do you ensure data accuracy in dashboards?

ANSWER

I validate source data, reconcile totals, check transformation logic, use controlled data models and compare KPI outputs with known operational reports before publishing.

EXAMPLE

Example: Total Transactions in Power BI is reconciled against the source operational file for the same period.

19. How have you automated MIS reporting?

ANSWER

I use Power Query, Advanced Excel and VBA to reduce repetitive preparation, standardize transformations and generate dashboards or periodic reports more efficiently.

EXAMPLE

Example: a recurring file-cleaning and consolidation task can be automated before dashboard refresh.

20. What is your strongest domain area?

ANSWER

My strongest combined area is operations control across capital markets and payments: validation, reconciliation, stakeholder coordination, KYC/onboarding and MIS. I can connect transaction-level processing with management reporting.

EXAMPLE

Example: resolving an operational mismatch and then reflecting its status/impact in the reporting dashboard.

21. Why are you suitable for a securities-operations role?

ANSWER

My background includes capital-markets issue processing, corporate actions, settlement, reconciliation, operational controls and a formal investment-banking certification covering securities, derivatives, trade life cycle, AML/KYC and settlement/reconciliation.

EXAMPLE

Example: I already understand both process execution and control functions such as reconciliation and exception handling.

22. Why are you suitable for a banking/FinTech operations role?

ANSWER

My current experience includes banking alliances, merchant onboarding, payment-gateway operations, KYC verification and partner coordination, supported by analytics and automation skills.

EXAMPLE

Example: coordinating a merchant from documentation review through partner activation while tracking the process in MIS.

23. What would you say if asked about direct derivatives operations experience?

ANSWER

I would be transparent: my direct professional experience is stronger in capital-markets/RTA, settlement/reconciliation, banking and payments, while my derivatives knowledge comes from formal Investment Banking coursework and continued study. I can explain the concepts and operational lifecycle without overstating hands-on exposure.

EXAMPLE

Example: explain IRS lifecycle and collateral concepts, then clearly distinguish academic knowledge from work experience.

24. How do you handle operational exceptions?

ANSWER

I first validate the exception against source data, determine whether it is a timing difference, data issue or true processing error, identify ownership, coordinate resolution, document status and ensure the final records reconcile.

EXAMPLE

Example: a bank/transaction mismatch is traced to a missing posting and resolved before report closure.

25. Describe a time you improved a process.

ANSWER

A strong answer from my profile is to discuss automating MIS or dashboard preparation using Power Query, Excel/VBA or Power BI, reducing manual handling and improving visibility. Use real measurable results if available and do not invent numbers.

EXAMPLE

Example: replacing repeated manual file consolidation with a reusable Power Query workflow.

26. How do you prioritize multiple urgent operational issues?

ANSWER

I prioritize based on financial/regulatory risk, settlement or activation deadlines, customer impact, ageing and dependency. I keep stakeholders updated and track unresolved items until closure.

EXAMPLE

Example: a settlement exception near market cut-off takes priority over a routine MIS formatting change.

27. How do you manage stakeholder communication?

ANSWER

I keep requests specific, validate facts before escalation, assign ownership, track deadlines and provide concise status updates to banks, PSPs, merchants and internal teams.

EXAMPLE

Example: a missing document is communicated with exact requirement and due date rather than a generic “KYC pending” message.

28. What is your experience with corporate actions beyond basic dividends?

ANSWER

My resume includes Rights Issues, Buybacks, Open Offers, Listing Offers and other corporate-action/RTA operations, so I can discuss processing, data validation, reconciliation and issue-related coordination.

EXAMPLE

Example: rights-issue data requires accurate application/bid processing and downstream reconciliation.

29. How would you explain your career progression?

ANSWER

My progression moved from operations and KYC quality review at CAMS, to deeper capital-markets/RTA operations at Cameo, and then to banking alliances, merchant onboarding and payment-gateway operations, while expanding analytics and automation capability.

EXAMPLE

Example: each role added a broader layer - data quality, securities operations, then banking/FinTech coordination.

30. What is the link between your operations and analytics skills?

ANSWER

I use analytics as an operational-control tool, not as a separate discipline: dashboards help identify trends, failures, backlog, partner performance and reconciliation issues.

EXAMPLE

Example: failure-reason analysis can reveal a recurring bank-side issue requiring operational escalation.

31. What is your experience with reconciliation?

ANSWER

My resume shows banking, settlement and transaction reconciliation in capital-markets operations, plus quality checks and data validation in other roles.

EXAMPLE

Example: compare internal issue records with bank-certified totals and investigate mismatches before closure.

32. What is your experience with regulatory alignment?

ANSWER

I have reviewed merchant/partner documentation for regulatory/internal-policy alignment and supported data validation for SEBI/stock-exchange reporting in capital-markets operations.

EXAMPLE

Example: ensuring source totals and required fields are correct before regulatory/operational submission.

33. How do you explain your Investment Banking certification?

ANSWER

I completed Certified Investment Banking Professional coursework covering Securities & Derivatives, Trade Life Cycle, AML/KYC, Settlement & Reconciliation, Asset Management and Risk Management.

EXAMPLE

Example: use the certification to support conceptual knowledge, then connect it to settlement/reconciliation and corporate-action experience.

34. What is one gap you are currently strengthening?

ANSWER

A safe answer is to identify a role-relevant area where you have conceptual but less direct hands-on exposure, such as OTC derivatives processing, and explain how you are strengthening it through structured study and scenario practice.

EXAMPLE

Example: “I am deepening practical understanding of ISDA/CSA and collateral workflows using case-based exercises.”

35. Why should we hire you?

ANSWER

I combine hands-on operations experience across capital markets, banking and FinTech with strong control orientation and analytics capability. I can investigate exceptions, coordinate stakeholders and translate operational data into actionable reporting.

EXAMPLE

Example: I can both resolve a merchant or settlement issue and build the MIS that helps management track recurring causes.

36. What are your Power BI strengths?

ANSWER

My resume lists DAX, Power Query, data modeling, star schema, KPI development, data visualization and dashboard development. I use these for operational and financial analytics.

EXAMPLE

Example: build a star-schema model for transactions, merchants, PSPs and dates to analyze success rate by multiple dimensions.

37. What would you say about SQL?

ANSWER

I would describe SQL as a basic skill because that is how it appears on my resume, and I would avoid overstating proficiency. I can discuss basic querying concepts if asked.

EXAMPLE

Example: use SELECT, WHERE, GROUP BY and simple joins for operational data extraction.

38. How do you ensure documentation quality?

ANSWER

I check completeness, data consistency, validity, approval requirements and alignment with the receiving bank/partner or internal policy before submission.

EXAMPLE

Example: confirm company name, registration details, UBO information and bank proof all match before onboarding submission.

39. What is your experience in quality control?

ANSWER

At CAMS I performed final quality review; at Cameo I validated transaction, bid and reconciliation data; in my current role I review documentation before submission/activation.

EXAMPLE

Example: detecting a bank-detail mismatch before it becomes a downstream payment issue.

40. How would you answer a question about managing more than 75 issues/transactions?

ANSWER

Use only the exact number if it is true and supported by your experience. Explain the variety of IPOs, rights issues, buybacks or other issues handled, your responsibilities and controls rather than focusing only on volume.

EXAMPLE

Example: “I supported numerous issue-processing events, validating data, reconciliation and operational reports across IPOs, rights issues and buybacks.”

41. What is your experience with MIS?

ANSWER

I have prepared daily, weekly and periodic MIS, campaign reports, operational summaries, KPI reports and dashboards across multiple roles.

EXAMPLE

Example: daily operational report highlighting pending items, exceptions and trend movement.

42. What types of interview questions should you avoid exaggerating?

ANSWER

Avoid claiming direct trading, investment advice, formal AML reporting authority, derivatives collateral management or regulatory decision-making unless you actually performed those duties. Be precise about “supported”, “validated”, “coordinated” and “performed”.

EXAMPLE

Example: say “I supported SEBI/stock-exchange reporting data validation” rather than “I was the regulatory reporting officer.”

End-to-End Scenario Questions

Apply multiple domains together by diagnosing operational problems, checking evidence, resolving root causes and explaining the control or escalation path.

1. A trade is matched but fails on settlement date. What do you do?

ANSWER

Check settlement status, SSI, stock/cash availability, custodian messages, market cut-offs and counterparty status. Correct the root cause, resubmit if allowed, monitor through completion and document/escalate based on ageing.

EXAMPLE

If the SSI is outdated, obtain the approved instruction, amend the settlement message and follow the fail until settled.

2. Internal position is 10,000 shares but custodian shows 9,500. How do you investigate?

ANSWER

Start from the last reconciled date, compare trades, transfers and corporate actions, identify the 500-share driver, check settlement status and postings, then correct the true error or record the timing item.

EXAMPLE

A 500-share purchase settled externally but was not posted internally.

3. A customer suddenly sends large transfers inconsistent with profile. What do you do?

ANSWER

Review KYC, expected activity, transaction history, counterparties, purpose, supporting documents and risk indicators. Refresh KYC if needed and escalate if unexplained concerns remain.

EXAMPLE

A small domestic business starts sending large payments to unrelated overseas entities without invoices.

4. A merchant onboarding file has a name mismatch between company document and bank proof. What do you do?

ANSWER

Do not approve blindly. Confirm whether it is a typo, trade name or different legal entity; request corrected/valid evidence and ensure the settlement account belongs to the approved merchant entity.

EXAMPLE

Company certificate says ABC Trading LLC but bank proof says ABC Services LLC; clarification is required before activation.

5. A sanctions alert matches on name but DOB differs. What do you do?

ANSWER

Review all available identifiers such as full name, DOB, nationality, address, IDs and aliases. Document why it is or is not the listed party and escalate according to sanctions policy if uncertainty remains.

EXAMPLE

Same name but different DOB and nationality may support false-positive disposition if policy criteria are met.

6. A collateral call differs by 1 million between counterparties. How do you investigate?

ANSWER

Reconcile trade population, valuations, market data, FX, legal terms, thresholds and collateral balances. Rank differences by value to isolate the main driver.

EXAMPLE

One side omitted a recently novated swap worth 0.9 million of the difference.

7. A cash dividend entitlement differs from custodian payment. What do you check?

ANSWER

Verify eligible position, ex/record/payment dates, rate, tax withholding, FX, market fees and custodian statement. Determine gross versus net basis.

EXAMPLE

Internal expected amount is gross while custodian payment is net of withholding tax.

8. A Nostro account has an unidentified credit. What do you do?

ANSWER

Check value date, amount, reference, counterparty, payment messages and related transactions. Search expected receipts, contact relevant teams/correspondent if needed and keep the item aged until identified.

EXAMPLE

The credit is eventually matched to a client payment booked with an incomplete reference.

9. A KYC document expires tomorrow for a high-risk customer. What do you do?

ANSWER

Follow policy for renewal and restrictions. Request updated documentation promptly, update the case, escalate if the relationship cannot legally/policy-wise continue with expired evidence and avoid unauthorized overrides.

EXAMPLE

A high-risk corporate trade license expires; the account may be restricted until valid renewal is obtained.

10. A business stakeholder asks you to close an AML alert without evidence. What do you do?

ANSWER

Maintain independence, explain required evidence and policy, document the request if appropriate and escalate through governance if pressure continues.

EXAMPLE

The alert remains open until the unusual transaction is reasonably explained or escalated.

11. An IPO processing total does not match the bank final certificate. What do you do?

ANSWER

Reconcile exchange/bid data, internal records and bank-certified totals; isolate missing/duplicate/rejected entries; validate cut-off and file versions; resolve before final allotment/settlement processing.

EXAMPLE

A duplicate file load inflated internal totals and is removed after validation.

12. A payment-gateway success rate suddenly drops. How would you use analytics operationally?

ANSWER

Slice failures by PSP, bank, merchant, payment method, time and failure reason; compare with prior trend; identify concentration; coordinate with the responsible partner; track recovery.

EXAMPLE

Most failures occur for one bank after a specific time, indicating a partner-side issue rather than merchant behavior.